

Half to three-quarters of our shorts are stock index futures. So most of our net exposure adjustment is done through shorting markets rather than individual companies.

How do you manage the shorts that are individual companies given the takeover dilemma you detailed?

We only short bad companies that can't be taken over because they are owned by the government or their own pension fund. If the company is owned by the pension fund, it will never be sold because the workers will be afraid that the acquiring company would sack 20 percent of the labor force.

What percent of companies are owned by the government or pension funds?

In emerging markets, about one-third of all companies are government or pension fund owned.

What is your risk control process?

We are always in the most liquid securities. If we get it wrong, we get out immediately. We do a lot of research before we put on any trade. Not only do we forecast the earnings for a stock three or four years out, we also forecast the macro picture three or four years out as well.

Can you really forecast that far out?

Our macro views change quite regularly. You just have to be pragmatic. When you get it wrong, you need to get out immediately. I am wrong all the time. If I can be right 60 percent of the time, and when I am right I have some big winners, and when I am wrong, I staunch the losses quickly, I can make a lot of money.

Do you have any specific risk control rules?

We have never had and would never use any form of quantitative risk control because all quantitative risk control models use historical volatility. It is like driving by looking in the rearview mirror. If you use volatility as a guideline, and volatility suddenly increases, you will—Doh!—find that your risk was much greater than you thought, but by